



iCEX

**INVESTIN
SPAIN**

Tax relief for R&D and innovation activities in Spain



For more information
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What is the tax relief for R&D and innovation activities?

The purpose of this deduction is to reward the effort made by companies in the development of innovative activities, by means of a deduction on the corporate income tax (a direct tax levied on the income of companies and other legal entities). It is possibly the most interesting deduction for companies, since it is applied directly on the corporate tax payable and not on the taxable base, which considerably reduces the amount of tax payable.

Key aspects

FOR ANY TAXPAYER

Applicable to any corporate income taxpayer (except foundations) that carries out innovative activities

FOR ANY TYPE OF COMPANY

They can be applied by any company, regardless of its size, turnover and sector of activity.

TYPE OF EXPENSES

Expenses directly related to a specific project and directly applied to it. Indirectly attribute costs are excluded.

COMPATIBLE WITH OTHER INCENTIVES

Its compatible with other aid, except in the case of subsidies, which must be subtracted from the deductible base before applying the deduction.

DEDUCTION PERCENTAGES

In general, 25% of the expenses incurred in the tax period for this concept. In the case of Technological Innovation up to 12%.

TIME TO BENEFIT FROM THE AID

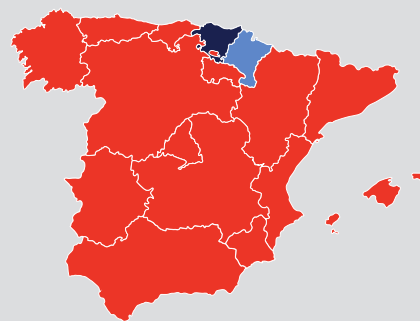
It has 18 years after the R&D&I activities have been carried out to benefit from the incentive.



Territorial differences in Spain for tax relief purposes

There are three territorial differences in Spain.

- Common territory
- Basque Country
- Navarre



Common territory

R&D	25% average of the last 2 years. 42% rest. 17% additional for dedicated R&D staff.
Innovation	12%.
Subsidies	Tax deduction basis = Expenditure incurred - 100% of the subsidy.
New assets	8% For assets excluding R&D assets, excluding buildings and land.
Durarian	18 years.
Quota limit	25% normal overall. If > 10% of the quota: 50% Option to monetise the deduction up to €5M with a 20% reduction, which allows to pierce the tax floor.
Minimum taxation	15% (with particularities) If net turnover greater than (or equal to) €20m or tax consolidation.

Basque Country



R&D	30% average of the last 2 years. 50% rest. +20% additional for exclusive R&D personnel. And for subcontracting with UNI. OPIS. o CIT and Technological Innovation Support Centres and with Entities integrated in the Basque Technology Network.
Innovation	15% across the board. 20% for subcontracting with UNI. OPIS. or CIT and Technological Innovation Support Centres and with Entities integrated in the Basque Technology Network; 20% for ISO 9000, ISO 14000, GMP or similar.

Navarre



R&D	40% average of the last 2 years. +10% additional for exclusive R&D personnel, for Technology Centres and Universities and for collaborations with SINAI entities.
Innovation	15%

Canary Islands



R&D	45% average of the last 2 years. 75,6% rest. 37% additional for dedicated R&D staff.
Innovation	45%

Tax Lease



What is tax lease?

It is a financial instrument whereby one company sells its tax deductions to another. In short, it is a matter of putting two companies in contact with each other: one wants to sell its deductions, the other wants to buy them. Both parties benefit from this transfer: one company sells its deductions and thus, finances part of its R&D&I project; the other company buys these deductions and, by buying them, can apply a corporate tax deduction.

What are its advantages?

Researcher

Company with an R&D project you want to finance.

- ✓ Obtain immediate liquidity to finance part of the costs of your project.
- ✓ Finance without debt: you obtain liquidity for your R&D project.

Investor

Company that wants to reduce its tax burden by investing in an R&D project.

- ✓ Pay less in corporate income tax by buying tax deductions.
- ✓ Encourages investment in R&D projects by facilitating access to financial resources.

How it is carried out?

For the Common territory:

- **Creation of an Agrupación de interés Económico/Economic Interest Grouping (AIE).** An AIE is an entity regulated by Law 12/1991 for groups with economic objectives. Its purpose is scientific research, technological development, innovation and exploitation of R&D&I results. Investors contribute capital to the AIE to participate in it.
- **R&D project development and invoicing.** The company contracted by the AIE invoices for the R&D services provided. The AIE owns the R&D project and can apply corresponding tax credits. The investors give an option to purchase 100% of the shares from the R&D company.
- **Payments and agreements.** The AIE pays the pre-agreed researcher, using the committed capital. The R&D company grants the AIE a put option on the outcome of the R&D project. The AIE manages the financial flows between investors, the R&D company and the researcher.

For the Basque Country and Navarra:
In the regions of Navarre and the Basque Country, the process is simplified by not requiring the formalization of an AIE. Instead, these regional treasuries choose to implement a profitability coefficient, thus streamlining the fiscal and administrative framework.



Patent Box

What is Patent Box?

The patent box or IP-Box is a tax incentive that allows to reduce the tax rate on the assignment or transfer between entities of intangible assets derived from research and development and technological innovation activities.

Which intangible assets can benefit from the patent box?

Patents, advanced registered software, legally protected designs, utility

models and complementary protection certificates for medicines or phytosanitary products. Thus, excluded, among other assets, are trademarks, artistic or scientific works, image rights, industrial, commercial or scientific equipment, plans, formulas or secret procedures.

How is the reduction of the patent box incentive calculated?

This income will be entitled to a reduction in the corporate income tax base resulting from multiplying by 60% a corrective coefficient calculated on the basis of the income and expenses incurred by the entity assigning or transferring the asset.

What are the advantages of the patent box?

In the case of being able to apply the maximum reduction provided for by the patent box (60%), the income obtained from the assignment of intangible assets with the characteristics indicated in the answer to the second question could be taxed at an effective corporate income tax rate of 10%, as opposed to the general rate of 25%. This reduction can be imputed independently of the date of creation of the intangible asset and its term of application on the same asset is indefinite and also possible with negative taxable bases. Likewise, it can be made compatible without restrictions with other tax deductions for R&D&I.

What are the requirements for companies wishing to benefit from the patent box?

The entity assigning the patent or other intangible asset indicated in the answer to the second question must have created at least 25% of its cost. Also, the transferee must have used the rights of use or exploitation in the development of an economic activity and the results of this use must not materialize in the delivery of goods or services by the transferee that give rise to expenses that the transferor entity can deduct for tax purposes.

To be considered

Freedom from depreciation: new items of property, plant and equipment

The maximum amount of the investment that can benefit from the freedom of depreciation is the result of multiplying the amount of 120,000 euros by the increase in the total average workforce of the company during the 24 months following the date of the beginning of the tax period.

Social Security subsidies for R&D

Incentive that allows a 40% reduction of common Social Security contingencies for workers who exclusively carry out R&D&I activities.

Differences between: Binding Consultation/Preliminary Agreement/Binding Motivated Report (IMV)

Binding Consultation: This is a consultation to the Spanish Tax Agency whose response is considered binding for subsequent files.

Preliminary Agreement: Prior agreement with the Spanish Tax Agency.

IMV: The Binding Motivated Reports will guarantee legal certainty, since they are binding before the Tax Administration. Through these reports, companies can overcome the uncertainty in the application of deductions.

